

Market Entry (Hollensen 8–12)

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Learning objectives

- Frame the two core **market-entry decisions: which markets** to enter and **which mode** to use.
- Compare entry modes on **control, risk, commitment and flexibility** — the export → intermediate → hierarchical ladder.
- Understand **exporting** and its mechanics (intermediaries, Incoterms, payment, countertrade).
- Understand **contractual / intermediate** modes — licensing, franchising, alliances — and how to protect intellectual property.
- Understand **FDI and hierarchical** modes — motives, greenfield vs. M&A, ownership and integration.
- Connect entry to **global sourcing, supply chains** and, when needed, **exit**.

Opening activity: get an Austrian SME abroad

IN-CLASS OPENER • 12 MINUTES • PAIRS — INSTINCT FIRST, FRAMEWORK LATER

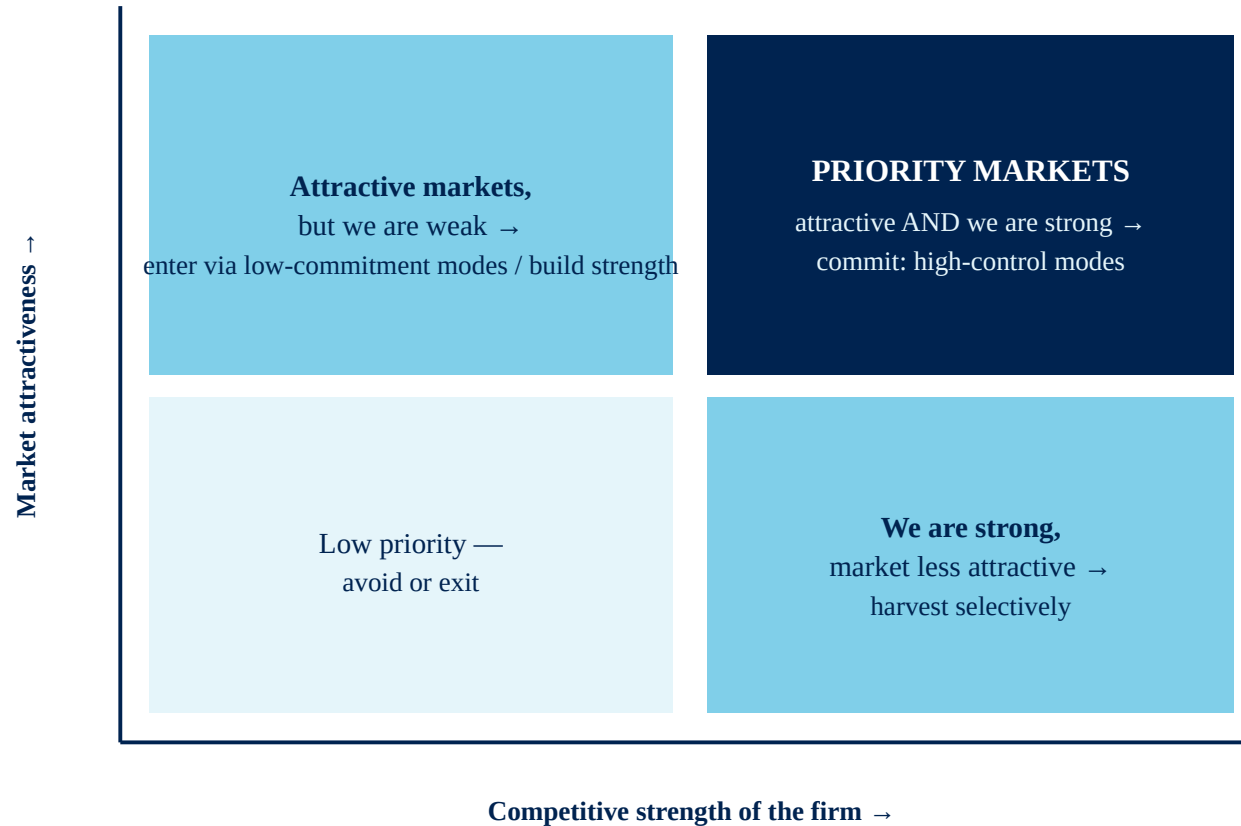
Objective: make a real market-entry call on instinct, then test it against today's framework.

- 1 Take a Viennese SME — e.g. **Manner** (wafers), **Blaguss** (travel), a craft-gin distiller or a med-tech start-up.
- 2 Pick **one foreign market** to enter — and **one way in** (export? license? franchise? joint venture? build your own operation?).
- 3 Write down **why** that mode: how much **control** do you need, how much **risk** can you carry, how much can you **invest**?
- 4 Keep your answer — at the end of the session you will re-decide with the full toolkit.

Two decisions, one strategy

- Foreign market entry is really **two linked decisions**: **WHERE** to compete (which country markets) and **HOW** to enter each one (the entry mode).
- **Which markets?** Screen and rank countries on **market attractiveness** and the firm's **competitive strength** (Hollensen's MACS logic).
- **Which mode?** Trade off **control, risk, resource commitment and flexibility** — the ladder from exporting to wholly owned operations.
- The two decisions interact: a highly attractive market where the firm is strong justifies a high-commitment mode; a risky or uncertain one argues for a low-commitment entry.

Which markets? The MACS matrix

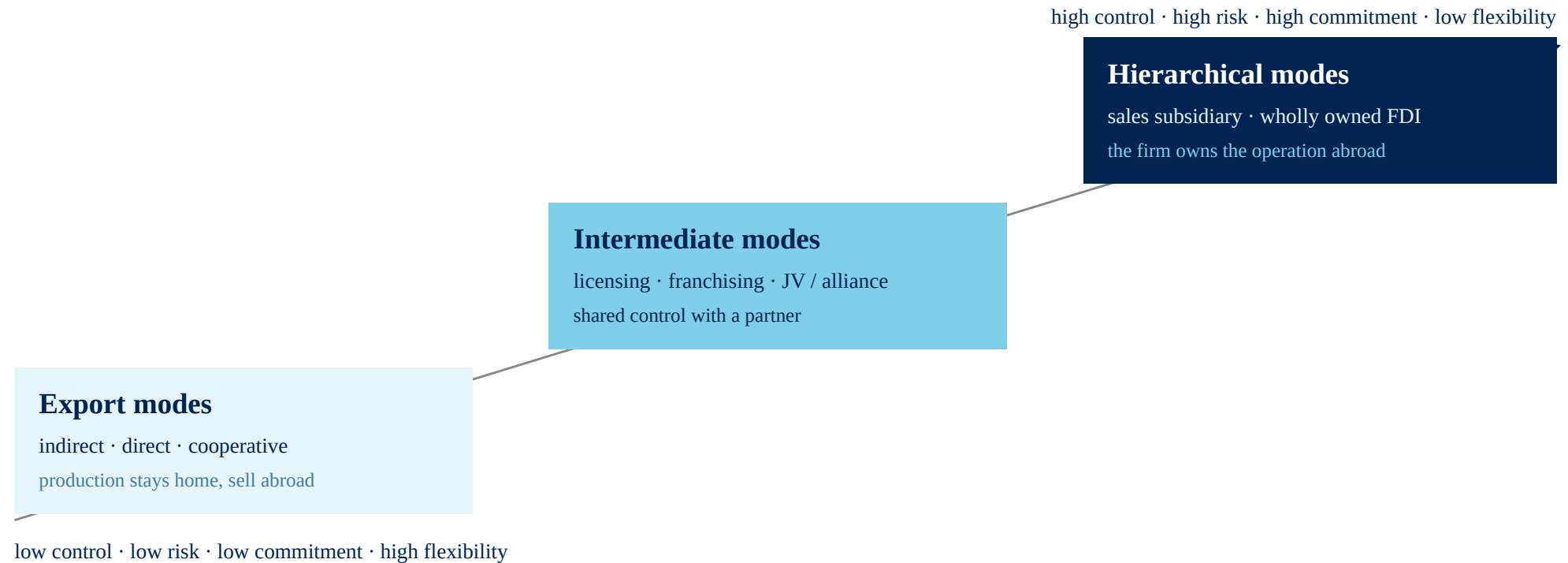


Rank candidate countries on market attractiveness (size, growth, risk) against the firm's competitive strength there. Priority markets score high on both. Source: Hollensen, Global Marketing (market attractiveness / competitive strength model).

Which markets first? Waterfall vs. sprinkler

- **Waterfall (incremental):** enter markets **one after another**, learning as you go — lower risk and resource strain; slower, and rivals may pre-empt you. Fits SMEs and complex products.
- **Sprinkler (simultaneous):** enter **many markets at once** — speed and first-mover advantage; far more demanding on resources and coordination. Fits short product life cycles and platform businesses.
- **Market concentration vs. diversification:** pour resources into a **few** deep markets, or spread thinly across **many**? Concentration builds strong positions; diversification spreads risk and reads the market.
- **Example:** Netflix went **sprinkler** — launching in ~130 countries at once in January 2016; a Mittelstand machine-tool maker typically goes **waterfall**, market by market.

Which mode? The control–commitment ladder



As the firm climbs from export to intermediate to hierarchical modes it gains control and market presence — but takes on more risk, cost and less flexibility. Source: Hollensen, Global Marketing; Cavusgil et al., International Business.

What drives the mode choice?

- **Internal factors:** firm size and resources · international experience · the product (complex, service, IP-heavy?) · desired degree of control.
- **External factors:** market size and growth · country risk (political, legal, cultural) · trade barriers and government rules · intensity of competition.
- **Desired mode characteristics:** how much **risk-aversion**, need for **control**, and **flexibility** the firm wants.
- **Transaction-specific factors:** the risk of a partner appropriating the firm's **know-how** — high tacit-knowledge or brand value pushes toward higher-control modes.
- *No single best mode: the right entry matches firm, product, market and the firm's appetite for control and risk.*

Export modes: indirect, direct, cooperative

Export modes — the producer sells abroad while production stays at home

Indirect export

Sell through a home-country intermediary (export house, trading company, piggybacking).

Simplest, least control, no learning.

Direct export

Sell through intermediaries in the foreign market (agents, distributors) or the firm's own export dept.

More control, more market knowledge.

Cooperative export

Export via a collaboration — export marketing groups, consortia, shared distribution.

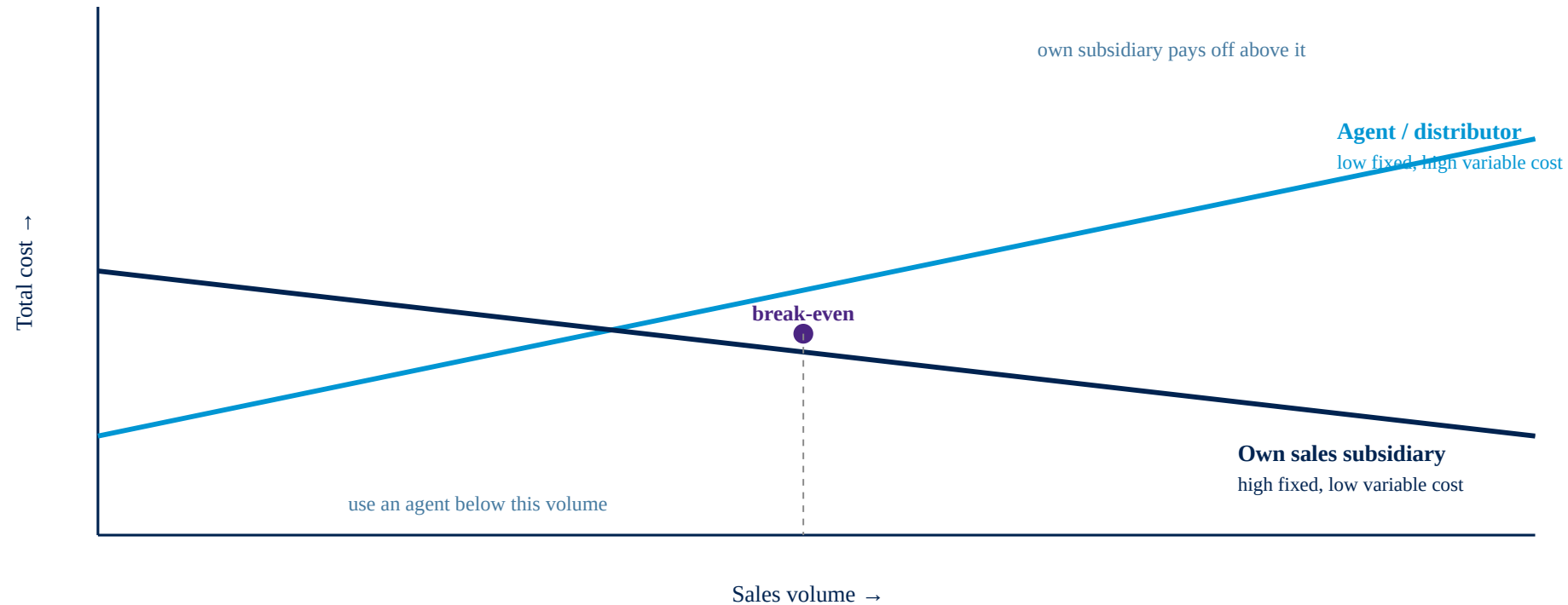
Pool costs and reach with partners.

Three ways to export. Indirect uses a home-country intermediary; direct reaches the foreign market itself; cooperative shares the effort with partners. Source: Hollensen, Global Marketing.

Joint ventures and strategic alliances

- An **international collaborative venture** pools two or more firms' resources to share cost and risk — it spans **equity joint ventures** and non-equity, **project-based** alliances.
- **Equity JV**: partners create a **new jointly-owned company** — used when no single party has all the assets; the local partner brings market access, the foreign partner technology or brand.
- **Project-based / non-equity alliance**: a narrow scope and fixed timetable, **no new legal entity** — e.g. a consortium (Airbus-style) or a cross-licensing deal.
- **Reality check**: about **half** of global collaborative ventures fail within five years — from culture clashes, unclear goals and weak governance. Success needs common goals, cultural awareness and disciplined management.

Agent or own subsidiary? The break-even logic



A sales subsidiary carries high fixed but low variable cost; an agent/distributor is the reverse. Below the break-even volume the agent is cheaper; above it, owning the operation pays off — a classic reason firms escalate commitment as sales grow. Source: Hollensen, Global Marketing.

When to leave: the divestment decision

1. Problem recognized

weak or negative performance abroad — but is it temporary or structural?

2. Analysis & evaluation

assess causes, strategic fit, exit costs and stakeholder effects

3. Search for alternatives

turnaround · sell the unit · hand to a local partner · full withdrawal

4. Divestment decision

choose and time the exit — sale, closure or transfer

5. Implementation

manage contracts, staff, customers and reputation on the way out

Entry is not forever. Persistent underperformance triggers a structured exit: diagnose the cause, weigh turnaround against sale or withdrawal, then manage the exit's contracts, people and reputation. Source: Hollensen, Global Marketing (divestment framework).

The entry modes at a glance

Mode	Control	Risk / commitment	Speed & flexibility	Typical use
Exporting	Low	Low	High	First step; SMEs; test a market
Licensing	Low–moderate	Low	High	IP-rich firms; fast, cheap reach
Franchising	Moderate	Low–moderate	High	Replicable business systems; retail & food
Joint venture / alliance	Shared	Moderate	Moderate	Need a local partner’s assets or access
Wholly owned FDI	High	High	Low	Strategic markets; control of IP & quality

The through-line of the session: control, risk and commitment rise together as you climb the ladder — pick the lowest-commitment mode that still gives you the control the situation demands.

Apply it: choose the entry mode

IN-CLASS ACTIVITY · 15 MINUTES · SMALL GROUPS

Objective: use the full toolkit to choose and defend an entry mode — then compare it to your opening instinct.

- 1 Take one scenario: **(a)** a Styrian craft-gin maker entering Japan · **(b)** an Austrian med-tech firm entering the USA · **(c)** a Vienna coffee-house brand entering the Gulf.
- 2 Screen the market briefly (attractiveness × your strength) and pick a mode from the ladder.
- 3 Justify it on **control, risk, commitment and IP** — and name the single biggest risk of your choice.
- 4 Compare with your **opening-activity** answer: did the framework change your mind?
- 5 Two minutes per group; the class stress-tests each decision.



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